

ROMANIA

2014

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

For annual gross earnings the data source is Labour Cost Survey, which is carried out on yearly basis. For 2014 the average monthly gross earnings is 2304 Lei and the average annual gross earnings is 27648¹ Lei (final data – corresponding to enterprises B to N).

¹ final data (from the Labour Cost Survey).

2. Unemployment insurance

The rights on “Unemployment insurance” are guaranteed and stipulated by Unemployment insurance system and stimulation of employment (Law no.76/2002 with subsequent amendments). The legal institution related to the subject is the National Agency for Employment.

2.1 Conditions for receipt

I. The recipients of unemployment benefits must cumulative fulfil the following conditions (Article 16 correlated with art.5 point IV letter c) Law no.76/2002):

- searching for a paid job, has at least 16 years old and does not fulfil the conditions for retirement;
- health and physical and mental capabilities render him/her suitable for performing a work;
- have no job, no income or make from authorised activities according to the law, an income lower than the value of reference social indicator (RSI) of unemployment insurance and stimulation of employment in force; the value of this social indicator for 2014 is lei 500 (Article 33¹ Law no.76/2002);
- ready to start work in the near future, if could find a job;

Also the above mentioned recipients must cumulative fulfil the following conditions (Article 34 paragraph (1) reported to Article 17 paragraph (1) and Article 16 letter a) correlated with Article 5 point IV letter c) Law no.76/2002)

- have a minimum period of contribution of 12 months in the last 24 months previous to date of registration;
- have no income or make from authorised activities according to the law, an income lower than the value of reference social indicator of unemployment insurance and stimulation of employment in force;
- do not have the standard retirement age, according to the Law provisions;
- are registered in at one of the territorial National Agencies for Employment in whose jurisdiction they reside or, if appropriate, residence, if they had a job or income realized in that locality.

II. Recipient of unemployment benefits is the person who did not find a job after graduating a certain level of education and fulfils the following conditions (Article 17 paragraph (2) correlated with Article 16 letter b) Law no.76/2002):

- graduated a certain level of education are at least 16 years old did not find a job in 60 days after graduating according to their professional training;
- graduated a special school for disabled people are aged 16 or over, who were unable to find a job according to their professional training;
- be registered in one of the territorial National Agencies for Employment.

Also the above mentioned recipients must cumulative fulfil the following conditions (Article 34 paragraph (2) reported to Article 17 paragraph (2) and Article 16 letter b) Law no.76/2002)

- are registered in at one of the territorial National Agencies for Employment in whose jurisdiction they reside;

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- have no income or make from authorised activities according to the law, an income lower than the value of reference social indicator of unemployment insurance and stimulation of employment in force.
- be not entitled to receive pension benefits according to the in force legislation (do not have the retirement age, according to the law and/or the minimum contribution period).

2.1.1 Employment conditions

The recipients presented at 2.1 I (Article 16 correlated with Article 5 point IV letter c) Law no.76/2002) must fulfil the following cumulative conditions (Article 17 Law no.76/2002):

- a) if their labour contract ceased due to reasons not attributable to them;
- b) if their labour agreement ceased due to reasons not attributable to them;
- c) if the mandate for which they were appointed or elected expired, and they were not previously employed or if their return to work is not possible because the employer definitive cease his activities;
- d) if the labour contract as a cooperative member has ceased due to reasons not attributable to them;
- e) if they signed an unemployment insurance contract and have no income or make from authorised activities according to the law, an income lower than the value of reference social indicator of unemployment insurance and stimulation of employment in force;
- f) if they stopped working due to disability pension and subsequently regained their ability to work and failed to find a job;
- g) if their labour/agreement contract ceased due to reasons not attributable to them when their labour/agreement contract was suspended;
- h) if the working reintegration, ready by definitive judicial decision is not possible at units employed previously because of definitive activity cease, or to units which take their patrimony;
- i) if their activity carried out exclusively on the basis of a legal relationship has ceased, and the legal relationship is other than those referred to in subparagraph a)-e), g) and h), in respect of which was due, according to the law, the individual contribution for unemployment insurance.

2.1.2 Contribution conditions

The recipients are paid in accordance with different periods of contributions (Article 39 paragraph (1) Law no.76/2002):

- 6 months for the persons that contributed at least 1 year;
- 9 months for the persons that contributed at least 5 years;
- 12 months for the persons that contributed at least 10 years.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The amount of unemployment benefits is paid on monthly basis differently as following (Article 39 paragraph (2) Law no.76/2002):

- I. For the persons determined at Article 16 correlated with Article 5 point IV letter c) Law no.76/2002:

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a) 75% from the value of reference social indicator; the value of this social indicator is 500 lei for 2013, for the persons that contributed at least 1 year;

b) in addition to the above sum, a certain amount is given based on the calculation of the average gross basic salary earned during the last 12 months of contributions, multiplied with the percent determined by different periods of contribution:

- 3% for the persons that contributed at least 3 years;
- 5% for the persons that contributed at least 5 years;
- 7% for the persons that contributed at least 10 years;
- 10% for the persons that contributed at least 20 years.

The reference social indicator represents the unit expressed in lei which relates the benefits paid from the unemployment insurance budget, provided both to ensure the protection of persons from the unemployment insurance system and to stimulate certain categories of persons to be employed, such as and employers to employ jobseekers.

The average basic salary is used only for the calculation of the unemployment benefit and is collected from the national survey on wages and salaries by occupations for month October (covering enterprises with 4 employees and over). The average basic salary is different then the average gross earnings, not containing the bonuses, whether or not regularly paid, 13th or 14th month, holiday bonuses, profit-sharing, allowances for leave not taken, occasional commissions, etc. The statistical survey on salaries in October 2013 was exclusively carried out **based on administrative data** (the results estimation was drawn up for all employees with employment contract declared in the "General register of employees" (REGES – managed by the Ministry of Labour), who have achieved income on salary basis and for whom the employers have filled in the "Statement on compulsory payments of social contributions, taxes on income and the nominal records of insured persons" (D112 - managed by the National Tax Administration Agency). This survey covered all active enterprises with legal status, of all size classes, whose main activity comply with the NACE Rev.2 divisions, codes 01-96, excluding the activity "Public administration and defence; social insurance from the public system" (division 84). The persons with labour agreement for the categories of employees whose status are civil servant, magistrate (judge, prosecutor) and assimilated, high officials and assimilated are not included. The results were available in April 2015. For 2014, the estimated annual average basic salary is 22512 Lei (1876 Lei monthly).

- II. For the persons who did not find a job after graduating certain levels of education (Article 17 paragraph (2) correlated with Article 16 letter b) Law no.76/2002), the unemployment benefits is a monthly fixed sum granted for a period of 6 months and represents 50% from the value of reference social indicator.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Registered unemployed presented at 2.1. I (Article 17 paragraph (1) Law no.76/2002) who were entitled to receive unemployment benefit, according to the law, and who get a full time job under the law in force, and as a result of employment, it ceases the payment of the unemployment indemnity, benefit since the employment to the end of the period which they were entitled to receive unemployment benefits, from a monthly amount, paid from the unemployment insurance budget, representing 30% of the unemployment benefit, established and, if necessary, updated in accordance with the law (Article 72 paragraph (1) Law no.76/2002).

The persons mentioned above also benefit from this amount if in the period for which they are entitled to receive unemployment benefits their employment/labour relationship is terminating to the first employer

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and they hire to a full time job, within 30 days, to another employer (Article 73 paragraph (1) Law no.76/2002).

Registered unemployed presented at 2.1. I (Article 17 paragraph (1) Law no.76/2002) who get a job in a company situated at a distance longer than 50 km from home are entitled to receive an installation allowance paid from unemployment insurance budget equal with 2 times the value of reference social indicator, paid as lump sum (Article 74 Law no.76/2002).

Registered unemployed presented at 2.1. I (Article 17 paragraph (1) Law no.76/2002) who accept a job for which they have to move to a different town are entitled to receive a relocation (mobility) allowance paid from unemployment insurance budget equal with 7 times the value of reference social indicator paid as lump sum (Article 75 Law no.76/2002).

The installation and relocation allowances referred to in art. 74 and art. 75, hereinafter mobility allowances, are granted on request, according to art. 74 and art. 75, also to the long-term unemployed registered at the employment agencies, who do not receive unemployment benefits.

The installation allowance referred to in art. 74 do not cumulate with the relocation allowance referred to in art. 75.

The beneficiaries of the mobility allowances are the persons who employ for a period of at least 12 months. Do not benefit from the mobility allowances:

- a) the persons who have benefited from an installation or relocation allowances in the last 36 months preceding the request of the mobility allowance;
- b) the persons who hire to the employers with whom they were in employment/labour relationships in the last 2 years;
- c) the persons for whom the payment of the unemployment benefit was suspended according to art. 45 para. (1) c) and later as a result of changing the duration of the individual labor contract, the payment of the unemployment benefits ceases according to art. 44, para.a).
- d) the graduates of faculties of medicine, dentistry and pharmacy who at the moment of the right request, had passed the national contest for residency places or jobs according to the law;
- e) the graduates of educational institutions to which employers are required by law to hire them.

Persons receiving mobility allowances are entitled to also maintain these if in the period of 12 months from the employment their employment/labour relationship is terminating to the first employer and they hire, within 30 days, to another employer, in the same conditions, respectively for a period exceeding 12 months in a place located at a distance longer than 50 km from the locality in which they reside or, where appropriate, in the same locality in which was the first employer that employed him and as a result, he changed residence in that locality.

Registered unemployed presented at 2.1. II (Article 17 paragraph (2) Law no.76/2002), who are at least 16 years old and are registered in one of the territorial National Agencies for Employment and find a job in normal working time, for a period longer than at least 12 months receive a bonus paid from unemployment insurance budget equal with the value of reference social indicator, in force (Article 73¹ paragraph (1) Law no.76/2002).

Registered unemployed presented at 2.1. II (Article 17 paragraph (2) Law no.76/2002) who find a job before expiring the period for which they were entitled to unemployment benefit receive a sum paid from unemployment insurance budget equal with the one receive normally until the unemployment benefit expired (Article 73¹ paragraph (2) Law no.76/2002) if they work for at least 12 months. The value of reference social indicator taken into account for calculating the unemployment benefit that they were entitled to receive if they weren't employed is the value of the reference social indicator in force at the moment of employment.

Do not benefit from the provisions of par. (1) and (2) of the art. 73¹:

- a) the graduates who after graduation had employment/labour relationships;

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b) the graduates who hire to the employers with whom they were in employment/labour relationships in the last 2 years;

c) the graduates who at the moment of the right request attend an education form;

d) the graduates of educational institutions to which employers are required by law to hire them;

e) the graduates for whom the payment of the unemployment benefit was suspended according to art. 45 para. (1) c) and later as a result of changing the duration of the individual labor contract, the payment of the unemployment benefits ceases according to art. 44, para.a).

(6) Persons who benefit from the bonus equal to the reference social indicator in force at the date of hiring provided in par. (1) of the art. 73¹ have the right to also maintain the bonus granted if in the period of 12 months from the moment of hiring their employment/labour relationship is terminating to the first employer and they hire to a full time job, within 30 days, to another employer for a period higher than 12 months

2.3 Tax treatment of benefit and interaction with other benefits

The benefits are not taxable. Re-routed social contributions²

2.4 Benefit duration and waiting periods

- I. The recipients, whose working contracts ceased due to reasons not attributable to them, are entitled to unemployment benefits for a period between 6 and 12 months, in accordance with different periods of contributions (see 2.1.2).
- II. The recipients, who did not find a job after graduating a certain levels of education, are entitled to unemployment benefits for a period of 6 months.

2.5 Treatment of particular groups

2.5.1 Young persons

Young people at risk of social exclusion are the person aged between 16 to 26 years old who meet the provisions of para. 4 of art. 5 (searching for a paid job, have at least 16 years old and do not fulfil the conditions for retirement; health and physical and mental capabilities render him/her suitable for performing a work; have no job, no income or make from authorised activities according to the law, an income lower than the value of reference social indicator of unemployment insurance and stimulation of employment in force; the value of this social indicator for 2014 is lei 500 (Article 33¹ Law no.76/2002); ready to start work in the near future, if could find a job) are registering to the agency of employment in whose jurisdiction they reside or, if appropriate, the residence and fall into one of the following categories:

- a) are in the child protection system or come from this system;

² No social security contributions are paid by the unemployed persons. The corresponding amounts for social security and health insurance are paid from the governmental **consolidated Unemployment Budget** through out the National and Territorial Agencies for Employment in behalf of the unemployed persons (transfers between social protection schemes).

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- b) have disabilities;
- c) have no family or whose family can not ensure his/her maintenance;
- d) have dependent children;
- e) executed one or more imprisonment sentences;
- f) is a victim of trafficking, are entitled to get a job through a solidarity contract.

Condition for receipt:

- registration with National Agency for Employment (ANOFM);
- signed convention between the beneficiary and ANOFM for a period of maximum 3 years (in order to find a job) but no less than one year, given that, at the conclusion of the solidarity contract, the young person has not reached the age of 26 years..

2.5.2 *Older workers*

None

2.5.3 *Others if applicable*

None

3. Unemployment assistance

Not applicable

3.1 Conditions for receipt

3.1.1 Employment conditions

3.1.2 Contribution conditions

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

3.2.1.1 Irregular additional payments

3.2.1.2 Obligations of family members

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 Young persons

3.5.2 Older workers

3.5.3 Others if applicable

4. Social assistance

Families and lone persons with low incomes are entitled to a guaranteed minimum income (Law no. 416/2001 regarding the guaranteed minimum income with subsequent amendments).

The guaranteed minimum income is given on a monthly basis and represents a social support benefit to guarantee a certain standard of living if no other means of income can be obtained.

Social assistance, part of the national social protection system, consists of **social services and social assistance benefits**, granted in order to develop individual and collective abilities to ensure social needs, increasing the quality of life and promoting the principles of cohesion and social inclusion. **Social assistance benefits** represent a form of supplementing or substituting income obtained through labour, in order to ensure a minim living standard, as well as a form of support in order to promote social inclusion and increasing the quality of life of vulnerable groups, as defined by law. **Social services** represent the activity or set of activities performed to address the social needs, as well as special needs for the person, family, group, in order to surpass the situations of difficulty, to prevent and fight the risk of social exclusion, and increase the quality of life.

On December 2011 a new Law on Social Assistance was adopted (Law No. 292; the first law on social assistance was adopted in 2001). The law ensures the legal and institutional unitary and coordinated framework, through which the general principles and rules for granting social assistance measures are regulated, as well as the system organizing and functioning criteria, in order to ensure adequate conditions for elaborating and implementing sectorial public policies in this area. Under this new law, social assistance benefits are linked to the Social Reference Indicator (SRI) in order to ensure compatibility with unemployment insurance benefits (according to law no. 76/2002 on the unemployment insurance system and stimulation of the employment including subsequent amendments). This will also create the basis for implementing an integrated IT system which will ensure comparability and linkages between different social protection measures (contributory or non-contributory), which are provided for a person or a family. Hence, the eligibility thresholds and amounts of social assistance benefits are established in relation to the SRI by applying a social insertion index.

Social assistance, through specific measures and actions, aims to develop individual, group or collective capacities to provide social needs, increase the quality of life and promote cohesion principles and social inclusion.

Social assistance measures and actions are performed so that:

- a. social assistance benefits and social services to be one package of interrelated and complementary measures;
- b. social services take priority over social assistance benefits, if their cost and impact on beneficiaries is similar;
- c. be evaluated periodically in terms of effectiveness and efficiency to be permanently adapted and adjusted to the real needs of beneficiaries;
- d. contribute to the beneficiaries' integration on labour market; to prevent and limit any form of dependence on the aid granted by the state or community

Social assistance benefits are a form of additional income or substitution of individual/family income earned from work in order to ensure a minimal standard of living and a form of support to promote social inclusion and increase quality of life of certain categories of persons whose social rights that are expressly provided by law.

The GMI is the programme for granting the **social aid**, according to the conditions and amounts provided by law no. 416/2001 on guaranteed minimum income (including subsequent modifications and

completions); the social aid is established as the difference between the guaranteed minimum income levels stipulated by law and the monthly net income of the eligible family or single person.

4.1 Conditions for receipt

Means tested benefit for families having incomes under a certain level (see 4.2.1)

Family constitutes:

- the couple (husband and wife) or husband/wife and their single children living together and managing the house in common (Article 2 paragraph (1) Law no. 416/2001);
- the single person living with children in care (i.e. single, widow, divorced, his/her spouse is declared missing by a court of law, or has not reached the age of 18 and is found in one of the situations mentioned above- Article 2 paragraph (2) Law no. 416/2001)
- siblings without children living together and managing the house in common (not residing with their parents - Article 2 paragraph (3) Law no. 416/2001)
- unmarried man and women with their own children or with each own children living together and managing the house in common (Article 2 paragraph (4) Law no. 416/2001)
- the concept “**children**” is translated as derived from the couple marriage, from one spouse, adopted, given in care to a family or to a lone person as a children tutor or curator (Article 2 paragraph (5) Law no. 416/2001.
- the concept “**lone person**” is translated as at least 18 years old who lives and manages the house alone (Article 2 paragraph (6) Law no. 416/2001);
There are also beneficiaries:
- families or lone persons, citizens of other states or stateless persons who reside or have the domicile in Romania, according to the Romanian law;
- in fact separated couple, if the social investigation certify the situation and justify the grant of the benefit;
- persons without a domicile or residence and homeless, found in need, based on the own declaration that they didn't request the social aid from others city halls.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The monthly level of the guaranteed minimum income is different depending on the number of individuals (Article 4 Law no. 416/2001).

Starting with the 1st of January 2014, the monthly level of the guaranteed minimum income is:

Family composition type	Guaranteed minimum income (Lei)
Single (0.283*500 lei)	142
2 persons (0.510*500 lei)	255
3 persons (0.714*500 lei)	357
4 persons (0.884*500 lei)	442
5 persons (1.054*500 lei)	527
More than 5 persons (0.073*500 lei)	527 + 37 for each person above 5

The amount of social assistance is established as a difference between the above mentioned sums and the monthly net income of a family/lone person.

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- Social Aid is increased by 15% in case at least one family member is employed (Article 6 paragraph (1) Law no. 416/2001).
- There is a minimum Social Aid - 10 lei per month for 2013 (10 lei granted if after applying the method of calculation, the result is lower than 10 lei) (Article 5 paragraph (2) Law no. 416/2001).

4.2.1.1 *Irregular additional payments*

None

4.2.1.2 *Obligations of family members*

In exchange for the social assistance payments, one of the family members/lone person must perform a certain number of working hours in the benefit of the municipality (for granting guaranteed minimum income), except the families or lone person for which the social aid calculated is up to 50 lei / month; for these, the working hours are set quarterly and undertaken in the first month of payment.

The working hours shall be calculated in proportion to the amount of social aid that the family or lone person benefits, with an hourly rate corresponding to the minimum gross base salary guaranteed in payment, reported to the monthly average duration of working time. The number of working days, limited to a monthly norm of 21.25, is determined by dividing the calculated working hours to 8 hours / day. The fractions are round in plus.

The obligation to perform the actions or local interest works mentioned above can be transferred to other persons in the family, with the consent of the mayor, if the person nominated to carry out the actions or local interest works is in temporary incapacity for work or have lost totally or partially his/her capacity to work.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

In the estimation of the monthly net income of the family/lone person all members incomes are taking into account (after all tax deductions are applied), including all types of family allowances and social benefits.

This programme is based on means testing and is aimed at encouraging social inclusion. It includes incentives to work - the eligible individual who has a job obtains an increase of 15% in benefits - and promotes the principles of responsibility, active participation of beneficiaries through involvement in work, and activities for the benefit of the community.

The programme for **heating benefits** during the cold season (according to the Emergency Government Ordinance no. 70/2011 regarding measures of social protection during the cold season). This is available to families who use thermal energy in a centralized house heating system, persons who use natural gas, wood, coal, oil, and electricity, starting with 2013, are eligible to benefit from these measures. The Emergency Government Ordinance stipulates the maximum income of a person or a family for being eligible to the heating allowance, and it stipulates allowance amounts for heating with natural gas, wood, coal, oil, electricity and thermal energy in a centralized system.

Except for the **Heating Benefits** (HB), which are granted every year for the period of the cold season (since November until March), the Guaranteed Minimum Income (GMI) and the Family Allowance (FA) are granted monthly, as long as the persons/families comply with the eligibility

criteria established by the national legislation.

In May 2013, the **GEO no.42/2013**, increased the amount of the social assistance benefits provisioned by Law no.416/2001 and Law no.277/2010, in order to provide a more efficient financial coverage of the poorest people. In order to achieve this goal the minimum guaranteed income for single persons and families has been increased by 8,5% starting with July 2013, this being followed by another increase by 4,5%, starting with January 2014. Through the same piece of legislation, the maximum income threshold for families with children in order to benefit from the Family Allowance has been increased by 43%, as well as the levels of this social assistance benefit, by 30%, starting with July 2013.

The social benefits in Romania are paid monthly. Regarding the 500 RON limit, this amount represents the value of reference social indicator. There is no limit regarding this issue, if the person or family are eligible for getting the social benefits, they will get without any limit.

The majority of social benefits in Romania are means tested (guaranteed minimum income, allowance for family support, heating benefits). There are some other benefits which are not means tested, such as: child allowance.

One of the person able to work of the beneficiary family who are entitled to benefit of the guaranteed minimum income, has to work in community but taking into account the amount of the benefits which the family gets. This measure is stipulated in the Law no. 416/2001 on the guaranteed minimum income and it is implemented only for this social benefit. The minimum income scheme is granted to the people with no income or very low income and fulfilled the conditions stipulated by Law no. 416/2001.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration and waiting periods*

Indefinite, as long as the conditions for receipt are met.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

None

4.5.2 *Older workers*

None

4.5.3 *Others if applicable*

None

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5. Housing benefits for rented accommodation

Not applicable

5.1 Conditions for receipt

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

5.2.2 Income and earnings disregards

5.2.3 Costs eligible for housing benefits

5.3 Tax treatment of benefit and interaction with other benefits

5.4 Treatment of particular groups

5.4.1 Young persons

5.4.2 Older workers

5.4.3 Others if applicable

6. Family benefits

- I. Monthly state allowance for children (Law no. 61/1993 regarding state allowance for children with subsequent amendments);
- II. Income maintenance in the event of a child birth;
- III. Indemnity for parental leave (G.O no.111/2010 regarding the parental leave with subsequent amendments);
- IV. Allowance for family support (Law no. 277/2010 regarding the allowance for family support with subsequent amendments ; E.O. no. 2/2011);

6.1 Conditions for receipt

I. Monthly state allowance for children

Family allowance is received by all registered children up to 18 years of age. Young persons over 18 are beneficiary if they are attending upper secondary and post-secondary education. The **child state allowance** (Law no.61/2003) is a fixed sum paid for all children until they reach the age of 18 (and to children older than 18 who are continuing school). The allowance amounts to 200 lei (about €50) for children under the age of two and to 42 lei (about €10) for those older than two. In the case of children with disabilities, the higher allowance (i.e.200 lei, about €50) is available until the child's third year of age, followed by an allowance of 84 lei (about €20) for older children.

II. Maternity Benefits

The insured women (in-work) and the women who lost the job less than 9 months before have the right to maternity benefits for a period of 126 days including pregnancy leave and postnatal leave. The payments are made from the health insurance budget (Article 23 and 25 E.G.O no. 158/2005).

III. Indemnity for parental leave

One of the child parents is entitled to receive indemnity and parental leave

- up to one year or 3 years in case of a disabled child (Article 2 paragraph (1) letter a) E.G.O no.111/2010)
- up to 2 years (Article 2 paragraph (1) letter b) E.G.O no.111/2010)

After one year of age of the child, except the case of a disabled child, persons who choose to take parental leave, have the right to take unpaid leave and raise the child up to 2 year old (Article 6 paragraph (1) E.G.O no.111/2010).

Before the child turns one year of age, the persons entitled to receive parental leave and allowance make an income subject to tax, have the right to receive a monthly incentive insertion amount of 1 RSI (1*500 lei) for the remaining period before the child is 2 years of age (Article 7 paragraph (1) E.G.O no.111/2010).

The incentive insertion amount of 1 RSI (1*500 lei) is receive also, by the persons raising a disabled child up to 3 years of age, anytime, for the entire period (Article 7 paragraph (2) E.G.O no.111/2010).

The persons who are on parental leave for rising a child up to 2 years are not entitle to receive the incentive insertion amount (Article 7 paragraph (3) E.G.O no.111/2010).

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In cases when the persons receive the monthly indemnity and ask for the incentive insertion amount, then the monthly indemnity for parental leave is suspended (Article 7 paragraph (4) E.G.O no.111/2010).

IV. Allowance for family support

The programme for granting **family allowance**, is stipulated by law no. 277/2010. This allowance is based on means testing and is paid to families with children, provided that the monthly net income per family member is lower than a maximum threshold of 1,06 RSI (530 lei about €120). The programme is designed to ensure better conditions for the care, education and raising of children and also to stimulate school attendance of children of school age in families who benefit from this allowance. The objective is to increase the chances of a secured future, of personal welfare through own efforts.

Allowance for family support is a means tested benefit, paid for **single parent family** and for those **families** for whom the individual income per person is in some limits and who have children in care aged less than 18.

Concepts of family and single parent family:

- Family - consisting of husband, wife and their children in care who live together in the household (article 2, paragraph 1, Law no. 277/2010) or unmarried man and woman and their children in care who live together in the household (article 2, paragraph 3, Law no. 277/2010)

Single parent family - consists of one person and his/her children in care who live together in the same household (article 1, paragraph 2, Law no. 277/2010).

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The values (starting with the July 1st 2013):

Frequency	Family benefit type	Value (Lei)
Monthly	Monthly state allowance for children (Article 3 paragraph a)-c) Law no. 61/1993)	200 lei for the child up to 2 years old (3 years old in case of disabled children) (0.4*500 lei)
		42 lei for 2 – 18 years old (0.084*500 lei)
		84 lei for 3 – 18 years old (in case of disabled children) (0.168*500)
Monthly	Income maintenance in the event of a child birth (Article 23 and 25 G.O no 158/2005)	85% of the average monthly income of the last 6 months from the last 12 months of the subscription stage, up to 12 minimum gross wages
Monthly	Indemnity for parental leave (G.O no.111/2010)	
	a) up to one year old or 3 years old in case of a disabled child	85% of average net income of the last 12 months prior to the child birth, but no less than 600 lei and

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	(Article 2 paragraph 1 ¹ letter a) G.O no.111/2010)	no more than 3400 lei ($\geq 1.2 \times 500$; $\leq 6.8 \times 500$ lei)
	b) up to 2 years old (Article 2 paragraph 1 ¹ letter b) G.O no.111/2010)	85% of average net income of the last 12 months prior to the child birth, but no less than 600 lei and no more than 1200 lei ($\geq 1.2 \times 500$; $\leq 2.4 \times 500$ lei)
The parental leave indemnity amount is raised with 600 Lei for each twin child for the cases described above (1.2×500 lei) (Article 5 G.O no.111/2010)		
Monthly	Allowance for family support (Law no. 277/2010)	For families who's minimum net income per person is below or equal with 200 lei (0.40×500 lei): 40 for families with 1 child (0.080×500 lei) 80 for families with 2 children (0.160×500 lei) 120 for families with 3 children (0.240×500 lei) 160 for families with 4 and more children (0.320×500 lei) For families who's minimum net income per person is between 201 and 530 lei (0.40×500 lei $\geq 1.06 \times 500$ lei): 33 for families with 1 child (0.066×500 lei) 66 for families with 2 children (0.132×500 lei) 99 for families with 3 children (0.198×500 lei) 132 for families with 4 and more children (0.264×500 lei) - article 5; Law no. 277/2010
		For single parent family who's minimum net income per person is below or equal with 200 lei (0.4×500 lei): 65 for families with 1 child (0.130×500 lei) 130 for families with 2 children (0.260×500 lei) 195 for families with 3 children (0.390×500 lei) 260 for families with 4 and more children (0.520×500 lei) For single parent family who's minimum net income per person is between 201 and 530 lei (0.40×500 lei $\geq 1.06 \times 500$ lei): 60 for families with 1 child (0.120×500 lei) 120 for families with 2 children (0.240×500 lei) 180 for families with 3 children (0.360×500 lei) 240 for families with 4 and more children (0.480×500 lei) - article 6; Law no. 277/2010

6.2.1.1 Irregular additional payments

None

6.2.2 Income and earnings disregards

None

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

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6.4 ***Treatment of particular groups***

None

6.4.1 *Young persons*

None

6.4.2 *Older workers*

None

6.4.3 *Others if applicable*

None

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7. Childcare for pre-school children

Compulsory schooling starts at 6 years old. Pre-school children may benefit of child day care services provided by state centres or non-profit organisations.

7.1 Out-of-pocket childcare fees paid by parents

Part-time childcare

7.2 Child-care benefits for formal centre-based care

See point 6

7.2.1 Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

7.2.4 Treatment of particular groups

7.3 Child care allowance for children not using child care centres

8. Employment-conditional benefits

Refer to section 2.2.2 for information on the extension of unemployment insurance benefits, once recipients take up work before the expiry of their entitlement period to unemployment insurance. Also, refer to section 4.2.2 for information of the extension of benefits of social assistance benefits, once the recipients take up work.

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable

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9. Lone-parent benefits

See point 6

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10. Tax system

10.1 Income tax

There are central and local government institutions that collect the income taxes.

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances (Law no. 571/2003 Fiscal Code)

The employees' benefit of a basic monthly allowance given gradually based on the level of the monthly salary and number of persons in care.

- lei -					
Monthly gross salary (MGS)	Monthly standard allowance based on the level of the monthly salary and number of persons in care				
	No person in care	1 person in care	2 persons in care	3 persons in care	4 or more persons in care
Less than or equal 1.000	250	350	450	550	650
1.001 - 3.000	$250 \times [1 - (\text{MGS} - 1.000)/2.000]$	$350 \times [1 - (\text{MGS} - 1.000)/2.000]$	$450 \times [1 - (\text{MGS} - 1.000)/2.000]$	$550 \times [1 - (\text{MGS} - 1.000)/2.000]$	$650 \times [1 - (\text{MGS} - 1.000)/2.000]$
More than 3.000	0	0	0	0	0

Person in care is defined as the wife/husband, children or other family members whose incomes are less than 250 Lei.

The sums representing the monthly standard allowance for the monthly salary are calculated by rounding at ten, in the sense that fractions under ten are made ten. (i.e. 235 Lei is transformed in 240 Lei).

10.1.1.2 Standard tax credits

Not applicable

10.1.2 Income tax schedule (central government income tax)

The income tax is 16% irrespective of the monthly gross income. The income tax is applied after the standard allowance and the below social contributions are deducted from the monthly gross income.

10.1.3 State and local income taxes

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Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Not applicable

10.2 Treatment of family income

The tax unit is individual.

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

According to the national legislation (Law no. 571/2003 Fiscal Code with subsequent amendments), the **employees** are paying the following social contributions:

- for unemployment schemes – 0.5% from the monthly gross income (Article 296[^]18, paragraph (3) letter d[^]1) Law no. 571/2003);
- for health care schemes – 5.5% from the monthly gross income (Article 296[^]18, paragraph (3) letter b[^]1) Law no. 571/2003);
- for social-security schemes – 10.5% from the monthly gross income (including 4 % corresponding to the private pension funds (Article 296[^]18, paragraph (3) letter a[^]1) Law no. 571/2003); If the basis value is greater than five times the average gross earnings³, the individual social security contribution rate will be applied to the equivalent of five times the average gross earnings (Article 296[^]4, paragraph (2) Law no. 571/2003).

The ceiling of the employees' social security contributions is applied since January 1st 2011. In the table below are the values of the average gross earnings for each year starting with 2008:

Year	2008	2009	2010	2011	2012	2013	2014
Average gross earnings stipulated through the State Budget Law (lei)	1550	1693	1836	2022	2117	2223	2298

Concerning the contributions to the private pension fund, these are compulsory for all employees aged up to 35 years old at 31st December 2007. For employees aged between 35 and 45 years old at that date this contribution is on voluntary basis.

The contribution to the private pension fund is part of the contribution for social security schemes and is transferred by the employer to a private pension fund chosen by the employee. It was foreseen to start in 2008 with a share of 2% from the gross monthly earnings and end in 2016 with a share of 6% from the gross monthly earnings. The basis for the contribution to the private pension fund is the same base established for social security scheme (gross monthly earnings).

The amount so calculated does not mean money overpaid and no amount will be withheld in excess of the monthly earnings. It is part of the 10.5% amount representing the social security scheme and already deducted from the gross monthly earnings. Thus, from the entire contribution to social security scheme, the amount representing the contribution to the private pension fund is transferred to the respective funds and the rest, up to 10.5%, is transferred to the public pension system. As the percentage that is transferred to the private funds increase, the amount transferred to the public pension system decrease correspondingly.

³ The average gross earnings used as a ceiling for computing the individual social security contribution is established by the Ministry of Finance, every year through the State Budget Law.

Reference date for all information is **July 1st 2014**

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In the table below is detailed the share of the gross monthly earnings transferred to the private pension fund only from the employee side, as stipulated every year in the State Budget Law:

	Rate of employee contributions to the private pension fund
2008	2.00%
2009	2.00%
2010	2.50%
2011	3.00%
2012	3.50%
2013	4.00%

10.3.2 Contributions payable by employers

According to the national legislation, the employers are paying the following social contributions:

- for unemployment schemes – 0.5% from the monthly gross income (Article 296¹⁸, paragraph (3) letter d¹) Law no. 571/2003);
- for social-security schemes⁴ – 20.8% from the monthly gross income (Article 296¹⁸, paragraph (3) letter a¹) Law no. 571/2003);
- for health care schemes – 5.2% from the monthly gross income Article 296¹⁸, paragraph (3) letter b²) Law no. 571/2003).
- for the national unique fund for health social security – 0.85% from the monthly gross income (Article 296¹⁸, paragraph (3) letter c) Law no. 571/2003)
- for risk and accident fund - 0.4% from the monthly gross income (Chapter III Article 5 paragraph (2) G.D no.144/2008 with subsequent amendments)
- for salary debt fund – 0.25% from the monthly gross income (Article 296¹⁸, paragraph (3) letter f) Law no. 571/2003)

10.3.3 Payroll taxes

Not applicable

10.4 Treatment of particular group

10.4.1 Young persons

None

10.4.2 Older workers

None

10.4.3 Others if applicable

None

⁴ The value applied starting with October 2014 is 15.8%. Until then the value for social-security schemes paid by the employer is 20.8%

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Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

The same rules are applied, except the standard allowance which is 0.

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced: 2nd July 2013 – 1st July 2014

Starting with month January 2014, were applied other levels of minimum guaranteed revenues for families and lone persons in need.

12.2 Future policy changes announced since 1st July 2014

Starting with the 1st of November 2014, according to the E.G.O. 65/2014 the level of allowance for family support was the following:

Monthly	Allowance for family support (Law no. 277/2010)	For families who's minimum net income per person is below or equal with 200 lei (0.40*500 lei): 82 for families with 1 child (0.1640*500 lei) 164 for families with 2 children (0.3280*500 lei) 246 for families with 3 children (0.4920*500 lei) 328 for families with 4 and more children (0.6560*500 lei) For families who's minimum net income per person is between 201 and 530 lei (0.40*500 lei $\geq$ 1.06*500 lei): 75 for families with 1 child (0.1500*500 lei) 150 for families with 2 children (0.3000*500 lei) 225 for families with 3 children (0.4500*500 lei) 300 for families with 4 and more children (0.6000*500 lei) - article 5; Law no. 277/2010
		For single parent family who's minimum net income per person is below or equal with 200 lei (0.4*500 lei): 107 for families with 1 child (0.214*500 lei) 214 for families with 2 children (0.428*500 lei) 321 for families with 3 children (0.642*500 lei) 428 for families with 4 and more children (0.856*500 lei) For single parent family who's minimum net income per person is between 201 and 530 lei (0.40*500 lei $\geq$ 1.06*500 lei): 102 for families with 1 child (0.204*500 lei) 204 for families with 2 children (0.408*500 lei) 306 for families with 3 children (0.612*500 lei) 408 for families with 4 and more children (0.816*500 lei) - article 6; Law no. 277/2010

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.